

The Family Council also makes disbursements for family members' educations. It supports them when they're getting started in new careers and new business ventures.

The aim of the endowment model is not just to help family members alive today but also to help future generations. So the purpose of distributions from the Family Council must be the financial stability of family members *and* the sustainability of the family bank itself.

There are no handouts. No bailouts. Family members must pay their own debts. In our family's case, we expect each family member to live on what he earns. But we don't mind helping him get started.

CREATING PERMANENT LEADERSHIP

As your family grows, there are more people involved in the family leadership. The leadership must be balanced and spread across each generation—or the family enterprise topples over.

That doesn't mean that everyone is a leader. It means your family needs to make decisions collectively. But be warned: consensus becomes increasingly difficult as the family expands.

Some family members will be more suited to leadership roles than others. But a brother, sister, or cousin does not usually command the respect and authority that the patriarch does. After he goes, governance will be harder. You'll hope you find a strong leader in each generation. And work hard to build consensus for key moves. The system takes practice. The best you can do is to start early, include everyone, and be consistent. Permanent leadership is one of the great secrets to preserving a family fortune over generations.

Leaders and individual family members will come and go. But an enduring leadership system will keep your family, and your family legacy, together for generations.